Lecture 2 Team Projects

Bond Pricing, Yield Measures, and Total Return

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1 Project 1: Price, Yield, and Horizon Return Case

Scenario. Evaluate a coupon bond that an investor expects to sell before maturity.

Objectives. Reproduce its quoted price; calculate current yield, YTM, and a two- or three-year horizon return; test reinvestment-rate and sale-yield assumptions.

Sources. U.S. Treasury, TreasuryDirect, Bank of Canada, FINRA Fixed Income Data/TRACE, or an instructor snapshot.

Deliverables. Cash-flow timeline, transparent calculations, three-scenario horizon-return table, YTM limitation discussion, and a 10–12 minute presentation.

Rubric (100 points). Conventions 20; price and yield calculations 25; horizon scenarios 30; interpretation 15; presentation and reproducibility 10.

2 Project 2: Premium, Par, or Discount?

Scenario. Test a client's belief that a discount bond is automatically a better bargain than a premium bond.

Objectives. Match two bonds by maturity and credit exposure; explain coupon, yield, price, pull to par, and accrued interest; discuss relevant tax or accounting effects qualitatively.

Sources. U.S. Treasury or Bank of Canada bond data; FINRA Fixed Income Data; official tax or accounting guidance.

Deliverables. Matched-bond table, clean/dirty price reconciliation, constant-yield price path, client conclusion, and a 10–12 minute presentation.

Rubric (100 points). Matching 20; pricing 30; pull-to-par analysis 20; explanation and caveats 20; presentation 10.